

Hon. Precision

Formidable 2027 drivers - large-package, China AI, FT/SLT pipelines, OSAT US onshoring, CPO ins4 O/E; OW

Hon's 2Q26 earnings call unveiled formidable 2027 drivers, and we expect a strong stock rebound from this much improved entry point of 25x 2027E P/E, as well as incremental growth prospects released vs 3-months ago. Key takeaways from the earnings include 1) growth prospects from large-package ATC handlers is a big upside surprise, as AI & HPC customers consider the adoption in 2027 (20-30% and >50% penetration rates in 1H27 and 2H27, in an optimistic case), ahead of chip size migration pace. Pricing is 20-25% higher; 2) China (20-30% of corp rev) order intake growth is accelerating thanks to China AI and Hon's dominant share in both FT and SLT, and the China business profitability is set to improve (vs margin dilutive previously); 3) The initial shipment schedule remains unchanged in Oct for Hon's CPO test insertion 4 optical-electrical co-test handlers (mass production models) signify on-track execution and shall not disappoint vs market expectations; 4) Hon maintained its capacity growth guidance for 2026/27 while flagging worldwide factory expansion projects by OSAT customers, including US onshoring; 5) Hon outlined multiple growth drivers for FT handlers (70-80% of rev) and reiterated convictions in order wins for SLT handlers; 6) Management indicated that customer roadmaps for higher thermal capability remain intact, with engineering targets at multiple customers moving toward ~10kW in 2027-28, boding well for Hon whose core technologies and competitive moats include temperature control and thermal management. We like Hon's EPS power, re-rating potential and enabler role in future AI chip tests. Maintain OW with a Jun-27 PT of NT\$8,350 (38x 2027E P/E; JPMc a 64% and 68% rev and EPS CAGR in 2025-28).

- Growth prospects from large-package ATC handlers a big upside surprise.** Hon indicated that its large-package FT handlers (for chip size >120x150mm) enjoy a 20-25% price premium vs its current FT handlers, given a new mechanical design, mega trays, automation modules, and advanced ATC (up to ~10kW). Hon is set to start the shipments in Oct 2026. The number of customers interested in this new platform has increased from 1-2 in the past to almost every one now, with clearer order forecasts and POs potentially emerging as early as next quarter. Hon takes an optimistic stance and suspects that large-package ATC handlers could account for 20-30% of Hon's shipments to AI-related customers in 1H27 and >50% in 2H27. Customers evaluate moving directly to the large-package handler platform ahead of chip size migration, given it supports both JEDEC trays and mega trays, and given the clear trend toward larger packaging sizes longer-term. We believe this will help raise Hon's ATC handler ASP - assuming 80% AI mix times 50% large-package mix times 20% premium would imply an 8% ASP lift.
- China order intake growth accelerating; profitability set to improve.** Hon indicated its China FT and SLT handler orders could increase >60% and >80% YoY, respectively, driven by AI, HPC and auto applications. Hon sees itself holding 90%-100% market share in the China high-end FT and SLT handler market. China could represent 20-25% of its order mix in 2026 and <30% in 2027, with management emphasizing that the China business should not be margin-dilutive going forward. Versus prior years' lower-end China orders, most of Hon's ATC handler shipments to China have shifted to mid- to high-

Overweight

7769.TW, 7769 TT

Price (30 Jul 26): NT\$5,620.00

▲ Price Target (Jun-27): NT\$8,350.00

Prior (Jun-27): NT\$8,000.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 26E (NT\$ mn)	52,170	55,004	5.4%
Revenue - 27E (NT\$ mn)	84,067	87,693	4.3%
Adj. EPS - 26E (NT\$)	124.71	128.53	3.1%
Adj. EPS - 27E (NT\$)	210.50	219.79	4.4%

Quarterly Forecasts (FYE Dec)

Adj. EPS (NT\$)	2025A	2026E	2027E
Q1	15.89	25.70A	41.40
Q2	15.26	30.44A	51.94
Q3	22.39	33.78	58.70
Q4	22.73	38.60	67.76
FY	76.30	128.53	219.79

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	40	85	70	40	
Growth	6	18	23	71	
Momentum	25	8	1		
Quality	15	16	2	1	
Low Vol	95	100	100		

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 11 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	64.1%	-13.1%	13.6%	274.7%
Rel	26.2%	0.3%	11.1%	204.5%

Company Data

Shares O/S (mn)	162
52-week range (NT\$)	8,465.00-1,400.00
Market cap (\$ mn)	28,124
Exchange rate	32.38
Free float (%)	46.2%
3M ADV (mn)	0.85
3M ADV (\$ mn)	175.0
Volatility (90 Day)	76
Index	TAIEX
BBG ANR (Buy Hold Sell)	18 1 0

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	30,271	55,004	87,693	134,582
Adj. EBIT	15,046	27,700	47,617	75,766
Adj. EBITDA	15,114	27,861	47,886	76,120
Adj. net income	12,362	23,125	39,548	62,521
Adj. EPS	76.30	128.53	219.79	347.47
BBG EPS	73.07	125.40	207.99	349.29
Cashflow from operations	15,112	25,808	42,006	66,007
FCFF	14,825	23,865	40,360	64,280
Margins and Growth				
Revenue Growth Y/Y (%)	116.3%	81.7%	59.4%	53.5%
EBIT margin	49.7%	50.4%	54.3%	56.3%
EBIT Growth Y/Y (%)	139.4%	84.1%	71.9%	59.1%
EBITDA margin	49.9%	50.7%	54.6%	56.6%
EBITDA Growth Y/Y (%)	138.8%	84.3%	71.9%	59.0%
Net margin	40.8%	42.0%	45.1%	46.5%
Adj. EPS growth	131.5%	68.4%	71.0%	58.1%
Ratios				
Adj. tax rate	20.7%	20.2%	20.0%	20.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	34.5%	35.3%	46.4%	54.1%
Valuation				
FCFF yield	1.6%	2.4%	4.0%	6.4%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/Revenue	28.3	15.3	9.3	5.8
EV/EBITDA	56.7	30.2	17.0	10.2
Adj. P/E	73.7	43.7	25.6	16.2

Summary Investment Thesis and Valuation

Investment Thesis

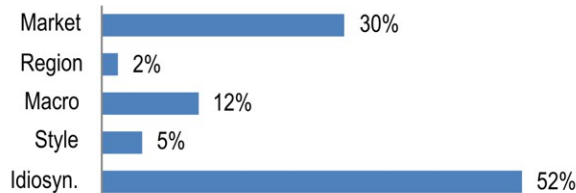
We are OW Hon. Precision (Hon). Hon is the global No.1 player in semiconductor test handlers, with a 35%+ market share, with an 80% revenue mix from AI & HPC. Given volume and spec uptrends for AI & HPC chips, we model 41% and 17% CAGRs for handler shipments and ASP in 2025-28, driving 64% and 66% CAGRs for both revenue and EPS. We believe the Street underestimates its multi-year ASP expansion potential amid rapid test spec upgrades. Hon is also a CPO enabler/beneficiary and is becoming a handler total solution provider. We like Hon's EPS power, re-rating potential and enabler role in future AI chip tests.

Valuation

Our Jun-27 PT of NT\$8,350 is based on a 38x 2027E P/E, in line with its average of plus 1STDs of 39x since Dec-25, when the company started trading on the Main Board.

We see a potential bull scenario in which Hon's share price could challenge the NT\$10,000 level if and when the Street rolls forward to 2028E EPS and assigns a P/E of 35-40x.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.57	0.52
Region: Taiwan	0.12	0.20
Macro:		
HSI Volatility Index	-0.42	-0.31
JP Morgan EMBI Global Spread	0.27	0.23
Citi Economic Surprise - EM	0.03	0.17
Quant Styles:		
Size	0.39	0.33
Momentum	0.19	0.18
Growth	0.26	0.16

spec configurations, reflecting higher thermal requirements for China AI & HPC chips. Hon is also developing a multi-site SLT system for China (integrating SLT and burn-in; burn-in modules sourced from external vendors). Total China demand over the next few years could reach four digits, per Hon.

- **CPO test insertion 4 (ins4) optical-electrical (O/E) co-test handlers: initial shipments from Oct.** Hon highlighted that Oct shipments will be mass production models rather than lab models, reflecting Hon's successful equipment qualification and strong customer interest in deploying production-ready tools. As one 2027 CPO switch project deigned to adopt ins4 O/E co-test has faced some design changes and schedule push-out, the end customer used Spectrum switch to validate and qualify optical alignment and O/E co-test functions of Hon's O/E co-test handlers. Once the next-generation CPO switch is completed, the already validated/qualified handler platform can be deployed. Hon can allocate capacity of 20-30 tools per month for CPO test ins4 O/E co-test handlers, though there is no clear order forecast and order timing yet. ASP will be high but should vary by specs and business model (i.e., consignment vs. buy/sell of key components such as optical instruments). Overall speaking, it seems Hon's own equipment development remains on track and will not disappoint vs market expectations.
- **Unchanged capacity increase targets to meet robust OSAT capacity increase.** Hon's equipment shipment value increased by >45% YoY in 1H26. Hon's capacity constraints pushed out some deliveries from 2H26 to 1Q27. Hon maintained its prior guidance of shipment value growth >50% YoY in 2027, but attributed it to three sources for better granularity: ~15% from the Hota Group plant acquisition (ramping in late 26 or early 27), ~20% from its China plant (local manufacturing for local demand) and ~15% from its three existing Taichung plants through layout optimization. Hon also highlighted several, major OSAT capacity expansion projects over the next 18 months, including an IDM's backend factory in Thailand (TAM: 300-500 units for Hon), a Taiwan OSAT's U.S. facility, two Taiwan OSATs' Singapore facilities, multiple China OSAT projects, and a Korea OSAT's U.S. facility.
- **FT handlers (70-80% of business): outlining multiple growth drivers.** Hon reiterated that Tesla's AI chips use the highest-spec handlers, supported by three OSATs, with order momentum expected to remain strong from 2H26 through 2027. Hon expects mass-volume deliveries for TPU projects to 3-5 OSATs in Taiwan and Singapore in 2H26, while a U.S. TPU customer has begun planning its 2027 procurement. Hon has also completed qualification for a next-generation server CPU program for an Austin-based GPU customer, with mass-volume shipments targeted for 2027. Moreover, as discussed earlier, China, an IDM's Thailand factory, and the large-package platform are also key growth drivers.
- **SLT handlers (20-30% of business): reiterating convictions in order wins.** Hon noted it has started shipments for the Austin-based GPU customer's current-generation server CPU. For the same customer, Hon continues to work on qualification for future GPU projects (i.e. Hon working to improve the cost structure which Hon identified as a major shortcoming vs its peer). For Nvidia GPU project, Hon has completed the first stage of qualification and continues to refine performance. Notably, Hon is developing and qualifying for a major U.S. CSP's next-generation and next-next-generation ASICs, and highlighted the critical need to support up to ~10kW thermal capability by 2028. Moreover, as discussed earlier, Tesla and China are also key growth drivers. Bottom line, there are no confirmed order wins/win-backs in GPU SLT handlers, but its progress over the mid to long term remains a key watch point, in our view. Last, we think SLC handler order competition for AMD's next-generation server CPU projects could be a swing factor for sentiment in the next 6 months.
- **Formidable 2027 growth drivers.** Hon expects U.S. semiconductor onshoring to generate meaningful incremental demand from multiple U.S.-based OSATs and end customers, while China AI continues to drive an even higher growth rate. Within Hon's

AI order exposure, management expects ASICs to surpass GPUs in 2027. On key spec migrations, customer roadmaps for higher thermal capability remain intact, with engineering targets at multiple customers moving toward ~10kW in 2027-28. Volume shipments of the large-package ATC handler platform should soon become a meaningful double-digit portion of shipments. Finally, CPO test insertion 4 optical-electrical co-test handlers could carry very high ASPs with a few volumes - effectively an option value for the company. Of note, on pricing, Hon sees limited scope for like-for-like price increases on existing shipments; instead, ASP and profit should lift primarily from new equipment with higher specs.

- **2Q26 results mixed.** EPS of NT\$30.4 beat JPMe and consensus by 4-5%, driven mainly by revenue of NT\$13.8bn (+29% QoQ, +100% YoY). Gross margin was 56.1%, within the company's 55-60% target range, but below JPMe and consensus expectations of ~57.0%. Opex of NT\$1.1bn was higher than expected, reflecting a one-off employee compensation charge of ~NT\$170mn from treasury shares awarded to key R&D staff; the company now has no remaining treasury shares.
- **Implications - much improved entry point.** We raise our 2026E, 27E and 28E EPS by 3%, 4% and 9% to NT\$129, NT\$220 and NT\$347. We maintain OW and raise our Jun-27 PT to NT\$8,350, based on a 38x 2027E P/E, in line with its average of plus 1STDs of 39x since Dec-25, when the company started trading on the TWSE Main Board.

Earnings review and estimates

Table 1: Hon. Precision 2Q26 result review

NT\$m

	2Q26					1Q26		2Q25	
	Actual	JPMe	Diff. %	Cons.	Diff. %	Actual	QoQ %	Actual	YoY %
Sales	13,794	12,228	13%	12,546	10%	10,725	29%	6,885	100%
Gross Profit	7,737	6,997	11%	7,134	8%	6,032	28%	4,037	92%
GM	56.1%	57.2%	-113 bps	56.9%	-77 bps	56.2%	-15 bps	58.6%	-255 bps
OP Profit	6,686	6,178	8%	6,319	6%	5,360	25%	3,643	84%
OPM	48.5%	50.5%	-205 bps	50.4%	-189 bps	50.0%	-150 bps	52.9%	-444 bps
Pre-tax Profit	6,892	6,494	6%	6,549	5%	5,798	19%	3,156	118%
Net Income	5,476	5,196	5%	5,140	7%	4,624	18%	2,466	122%
NM	39.7%	42.5%	-279 bps	41.0%	-127 bps	43.1%	-342 bps	35.8%	388 bps
EPS (NT\$)	30.4	28.9	5%	29.1	4%	25.7	18%	15.3	99%
Opex	1,050	819	28%	815	29%	672	56%	394	167%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. and Company data.

Table 2: Hon. Precision: J.P. Morgan estimates new vs. old

(NT\$m)	Revised				Prior				Change			
	3Q26E	2026E	2027E	2028E	3Q26E	2026E	2027E	2028E	3Q26E	2026E	2027E	2028E
Sales	14,335	55,004	87,693	134,582	13,476	52,170	84,067	124,184	6%	5%	4%	8%
Gross profit	8,236	31,418	52,100	81,950	7,841	30,086	49,912	75,441	5%	4%	4%	9%
GM	57.5%	57.1%	59.4%	60.9%	58.2%	57.7%	59.4%	60.7%	-73 bps	-55 bps	4 bps	14 bps
Operating profit	7,290	27,700	47,617	75,766	6,952	26,682	45,441	69,380	5%	4%	5%	9%
OPM	50.9%	50.4%	54.3%	56.3%	51.6%	51.1%	54.1%	55.9%	-73 bps	-79 bps	25 bps	43 bps
Net Income	6,078	23,125	39,548	62,521	5,803	22,439	37,875	57,497	5%	3%	4%	9%
EPS (NT\$)	34	129	220	347	32	125	210	320	5%	3%	4%	9%
Opex	946	3,718	4,483	6,184	889	3,403	4,471	6,061	6%	9%	0%	2%

Source: J.P. Morgan estimates.

Table 3: Hon. Precision: J.P. Morgan estimates vs. Bloomberg consensus

(NT\$m)	JPMe				Bloomberg				Diff			
	3Q26E	2026E	2027E	2028E	3Q26E	2026E	2027E	2028E	3Q26E	2026E	2027E	2028E
Sales	14,335	55,004	87,693	134,582	14,129	53,734	88,454	145,961	1%	2%	-1%	-8%
Gross profit	8,236	31,418	52,100	81,950	8,080	30,551	51,192	86,624	2%	3%	2%	-5%
GM	57.5%	57.1%	59.4%	60.9%	57.2%	56.9%	57.9%	59.3%	27 bps	26 bps	154 bps	155 bps
Operating profit	7,290	27,700	47,617	75,766	7,155	27,168	46,356	77,251	2%	2%	3%	-2%
OPM	50.9%	50.4%	54.3%	56.3%	50.6%	50.6%	52.4%	52.9%	22 bps	-20 bps	189 bps	337 bps
Net Income	6,078	23,125	39,548	62,521	5,744	22,437	37,627	64,298	6%	3%	5%	-3%
EPS (NT\$)	34	129	220	347	33	126	208	354	2%	2%	6%	-2%
Opex	946	3,718	4,483	6,184	925	3,383	4,836	9,373	2%	10%	-7%	-34%

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Valuation

Our Jun-27 PT of NT\$8,350 is based on a 38x 2027E P/E, in line with its average of plus 1STDs of 39x since Dec-25, when the company started trading on the Main Board.

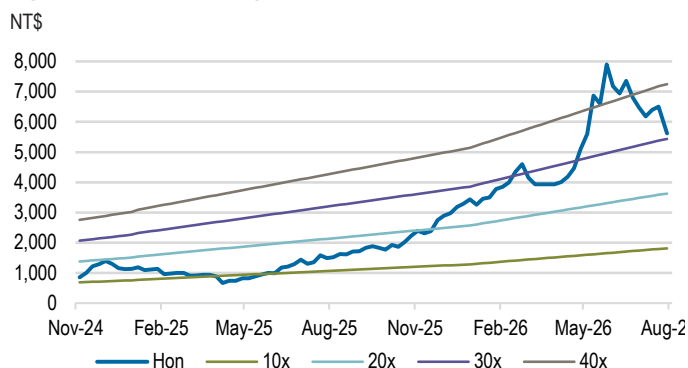
We see a potential bull scenario in which Hon's share price could challenge the NT \$10,000 level if and when the Street rolls forward to 2028E EPS and assigns a P/E of 35-40x.

Table 4: Hon. Precision's historical trading multiples (Dec-25 to date)

	P/E (x)		P/B (x)		ROE (%)	
	TTM	12M Fwd	TTM	12M Fwd	TTM	12M Fwd
STD	14	8	4	3	5%	5%
Max	81	48	22	17	38%	37%
Min	0	0	0	0	22%	22%
Medium	48	29	12	10	27%	29%
Average	52	31	14	11	29%	29%

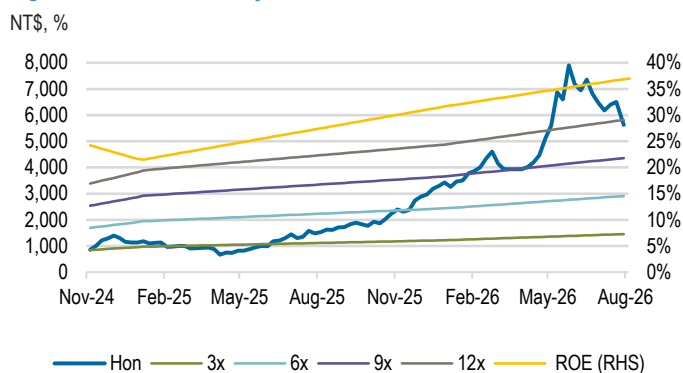
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 1: Hon. Precision 1yr forward P/E



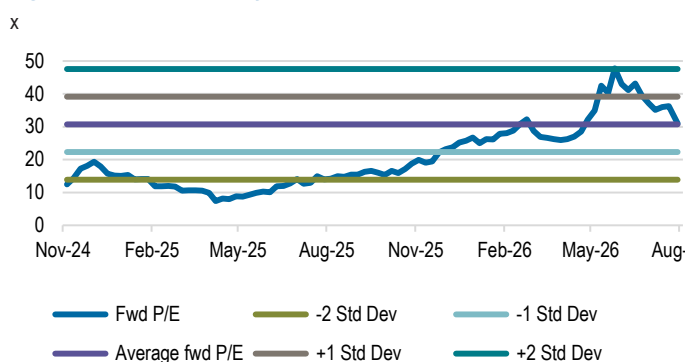
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 3: Hon. Precision 1yr forward P/B vs. ROE



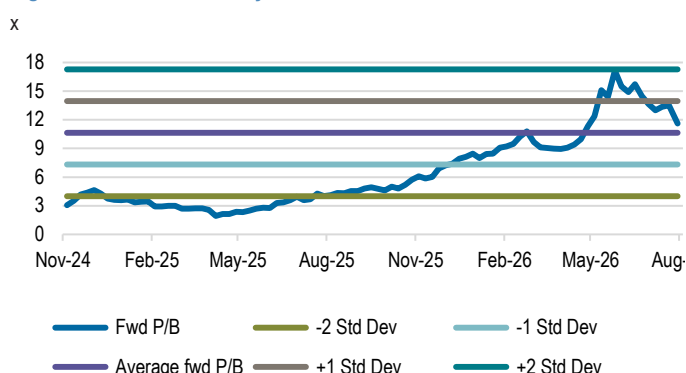
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 2: Hon. Precision 1yr forward P/E with STD



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 4: Hon. Precision 1yr forward P/B with STD



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Peer valuation comparison

Figure 5: Hon. Precision's peer valuation comparison

Company	Ticker	Price (LC)	Mkt Cap (\$Mn)	P/E (x)		EV/EBITDA		P/BV (x)		EPS growth (%)		ROE (%)		Price perf (%)	
				FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E	YTD	2025
Hon. Precision *	7769 TT	5,620	31,146	44	26	34	20	14	10	68	71	32	41	64%	202%
Chroma	2360 TT	1,910	25,017	45	30	37	24	19	14	52	51	47	56	146%	89%
Advantest	6857 JT	27,935	128,712	33	27	24	19	17	12	62	25	58	53	42%	113%
Teradyne	TER US	359	56,214	49	31	32	25	15	12	85	56	43	44	86%	54%
Chang Chuan	300604 CH	246	23,058	75	51	69	47	23	16	54	47	33	35	142%	130%
Global test equipment median				47	31	35	25	18	13	58	49	45	48	114%	101%
MPI	6223 TT	4,800	14,486	75	39	58	30	24	15	92	93	38	52	113%	143%
Winway	6515 TT	5,290	5,872	55	27	45	21	23	13	104	102	46	61	87%	148%
Chunghwa Precision Test	6510 TT	2,270	2,293	34	19	25	14	7	5	118	77	21	31	-1%	159%
Hermes Testing	7856 TT	2,990	2,503	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	154%	N/A
Keystone Microtech	6683 TT	843	716	#N/A	N/A	N/A	N/A	#N/A	N/A	N/A	N/A	N/A	N/A	103%	-3%
Taiwan test component median				55	27	45	21	23	13	104	93	38	52	103%	146%
All Ring Tech	6187 TT	845	2,556	30	19	26	16	10	8	83	53	32	44	132%	-9%
Ableprint	7734 TT	3,065	2,643	45	29	35	23	32	N/A	105	52	32	58	220%	-25%
C Sun Manufacturing	2467 TT	443	2,139	29	20	22	15	7	6	177	44	32	34	77%	21%
Grand Micro Machining	6640 TT	756	664	28	17	18	11	#N/A	N/A	111	70	36	58	20%	-1%
Grand Process Tech	3131 TT	2,155	1,942	33	21	26	15	13	10	45	56	40	45	38%	5%
Horng Teng Automation	7751 TT	1,120	928	26	13	18	8	N/A	N/A	106	108	44	99	45%	95%
Machivision	3563 TT	561	1,105	25	41	#N/A	N/A	#N/A	N/A	43	N/A	N/A	N/A	6%	47%
Scientech	3583 TT	594	1,470	30	20	20	13	6	5	45	47	24	28	78%	-16%
Ta Liang	3167 TT	442	1,219	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	81%	127%
V5 Technologies	7822 TT	729	1,023	28	19	25	18	N/A	N/A	84	51	N/A	N/A	-16%	N/A
Taiwan packaging equipment median				29	20	24	15	10	7	84	53	32	45	61%	5%
Delta Electronics	2308 TT	1,530	122,409	38	24	22	15	11	8	75	60	31	38	59%	124%
ASE Tech	3711 TT	505	69,536	30	20	14	10	6	5	81	49	20	26	102%	55%
Elite Materials	2383 TT	4,315	47,622	40	20	29	15	20	12	157	98	57	63	162%	166%
Unimicron	3037 TT	716	35,040	35	18	22	11	9	7	373	89	26	39	225%	57%
Asia Vital Components	3017 TT	2,110	25,511	22	15	14	10	11	8	94	45	58	56	40%	142%
Jentech	3653 TT	3,135	14,168	54	26	40	19	18	12	59	107	35	53	14%	80%
TAIEX	TWSE	39,933	4,013,422											38%	26%

Note: *JPMe for Hon. Precision and BBGe for other companies. Prices as of Jul 30, 2026 close.

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Income statement

Table 5: Hon. Precision quarterly income statement

	2025				2026E				2027E				2022	2023	2024	2025	2026E	2027E	2028E
(NT\$m, year-end Dec)	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE							
Revenue	5,913	6,885	8,198	9,276	10,725	13,794	14,335	16,150	16,939	20,821	23,325	26,607	13,469	9,489	13,992	30,271	55,004	87,693	134,582
Depreciation	14	14	15	19	26	25	43	44	45	61	62	63	14	35	46	69	161	186	290
COGS	2,419	2,847	3,468	4,423	4,693	6,057	6,099	6,737	7,016	8,520	9,415	10,642	7,236	4,823	6,293	13,157	23,586	35,593	52,632
Gross profit	3,494	4,037	4,730	4,852	6,032	7,737	8,236	9,413	9,923	12,301	13,910	15,966	6,234	4,667	7,700	17,114	31,418	52,100	81,950
Operating expense	360	394	565	749	672	1,050	946	1,050	1,033	1,083	1,143	1,224	1,228	901	1,415	2,068	3,718	4,483	6,184
Operating income	3,133	3,643	4,166	4,104	5,360	6,686	7,290	8,364	8,890	11,219	12,768	14,742	5,006	3,766	6,285	15,046	27,700	47,617	75,766
Net Interest Income	65	56	58	127	259	284	308	319	422	463	435	498	15	68	160	306	1,170	1,817	2,386
Net Other Income	37	-543	300	438	179	-78	0	0	0	0	0	0	669	52	239	232	102	0	0
Pre-tax profit	3,235	3,156	4,524	4,669	5,798	6,892	7,598	8,682	9,312	11,681	13,202	15,239	5,690	3,887	6,683	15,584	28,971	49,434	78,151
Tax expense (credit)	667	690	907	958	1,174	1,416	1,520	1,736	1,862	2,336	2,640	3,048	1,324	819	1,397	3,222	5,846	9,887	15,630
Net profit reported	2,568	2,466	3,617	3,711	4,624	5,476	6,078	6,946	7,449	9,345	10,562	12,192	4,365	3,068	5,286	12,362	23,125	39,548	62,521
EPS (NT\$)	16	15	22	23	26	30	34	39	41	52	59	68	27	19	33	76	129	220	347
Margins (%)																			
Gross Margin	59.1	58.6	57.7	52.3	56.2	56.1	57.5	58.3	58.6	59.1	59.6	60.0	46.3	49.2	55.0	56.5	57.1	59.4	60.9
- OPEX ratio	6.1	5.7	6.9	8.1	6.3	7.6	6.6	6.5	6.1	5.2	4.9	4.6	9.1	9.5	10.1	6.8	6.8	5.1	4.6
Operating Margin	53.0	52.9	50.8	44.2	50.0	48.5	50.9	51.8	52.5	53.9	54.7	55.4	37.2	39.7	44.9	49.7	50.4	54.3	56.3
EBITDA Margin	53.2	53.1	51.0	44.4	50.2	48.7	51.2	52.1	52.7	54.2	55.0	55.6	37.3	40.1	45.2	49.9	50.7	54.5	56.5
Net Margin	43.4	35.8	44.1	40.0	43.1	39.7	42.4	43.0	44.0	44.9	45.3	45.8	32.4	32.3	37.8	40.8	42.0	45.1	46.5
Sequential Growth (%)																			
Revenue	19	16	19	13	16	29	4	13	5	23	12	14							
Gross Profit	30	16	17	3	24	28	6	14	5	24	13	15							
EBIT	43	16	14	-1	31	25	9	15	6	26	14	15							
Net Profit reported	31	-4	47	3	25	18	11	14	7	25	13	15							
YoY Growth (%)																			
Revenue	142	129	129	87	81	100	75	74	58	51	63	65	10	-30	47	116	82	59	53
Gross Profit	188	120	140	81	73	92	74	94	65	59	69	70	9	-25	65	122	84	66	57
EBIT	220	143	158	87	71	84	75	104	66	68	75	76	16	-25	67	139	84	72	59
Net Profit reported	179	102	207	89	80	122	68	87	61	71	74	76	36	-30	72	134	87	71	58
EPS	177	100	207	86	62	99	51	70	61	71	74	76	-60	-30	72	131	68	71	58

Source: Company data and J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Hon. Precision (*Overweight; Price Target: NT\$8,350.00*)

Investment Thesis

We are OW Hon. Precision (Hon). Hon is the global No.1 player in semiconductor test handlers, with a 35%+ market share, with an 80% revenue mix from AI & HPC. Given volume and spec uptrends for AI & HPC chips, we model 41% and 17% CAGRs for handler shipments and ASP in 2025-28, driving 64% and 66% CAGRs for both revenue and EPS. We believe the Street underestimates its multi-year ASP expansion potential amid rapid test spec upgrades. Hon is also a CPO enabler/beneficiary and is becoming a handler total solution provider. We like Hon's EPS power, re-rating potential and enabler role in future AI chip tests.

Valuation

Our Jun-27 PT of NT\$8,350 is based on a 38x 2027E P/E, in line with its average of plus 1STDs of 39x since Dec-25, when the company started trading on the Main Board.

We see a potential bull scenario in which Hon's share price could challenge the NT\$10,000 level if and when the Street rolls forward to 2028E EPS and assigns a P/E of 35-40x.

Risks to Rating and Price Target

Key downside risks include an AI demand slowdown, test density declines, growing competition and slow progress in new advanced packaging technologies.

Key upside catalysts include global AI/AI semi capex hikes, stronger and longer AI demand, accelerating AP tech migrations and key project wins.

Hon. Precision: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26A	3Q26E	4Q26E	
Revenue	13,992	30,271	55,004	87,693	134,582	Revenue	10,725	13,794	14,335	16,150	
COGS	(6,247)	(13,088)	(23,425)	(35,324)	(52,277)	COGS	(4,664)	(6,026)	(6,050)	(6,686)	
Gross profit	7,700	17,114	31,418	52,100	81,950	Gross profit	6,032	7,737	8,236	9,413	
SG&A	(778)	(1,028)	(1,524)	(1,728)	(2,510)	SG&A	(298)	(450)	(373)	(404)	
Adj. EBITDA	6,330	15,114	27,861	47,886	76,120	Adj. EBITDA	5,386	6,711	7,333	8,407	
D&A	(46)	(69)	(161)	(269)	(355)	D&A	(29)	(32)	(49)	(51)	
Adj. EBIT	6,285	15,046	27,700	47,617	75,766	Adj. EBIT	5,357	6,680	7,284	8,357	
Net Interest	160	306	1,170	1,817	2,386	Net Interest	259	284	308	319	
Adj. PBT	6,683	15,584	28,971	49,434	78,151	Adj. PBT	5,798	6,892	7,598	8,682	
Tax	(1,397)	(3,222)	(5,846)	(9,887)	(15,630)	Tax	(1,174)	(1,416)	(1,520)	(1,736)	
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	
Adj. Net Income	5,286	12,362	23,125	39,548	62,521	Adj. Net Income	4,624	5,476	6,078	6,946	
Reported EPS	32.97	76.30	128.53	219.79	347.47	Reported EPS	25.70	30.44	33.78	38.60	
Adj. EPS	32.97	76.30	128.53	219.79	347.47	Adj. EPS	25.70	30.44	33.78	38.60	
DPS	39.13	0.00	0.00	0.00	0.00	DPS	-	-	-	-	
Payout ratio	118.7%	0.0%	0.0%	0.0%	0.0%	Payout ratio	-	-	-	-	
Shares outstanding	160	162	180	180	180	Shares outstanding	180	180	180	180	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	8,045	54,228	70,354	95,480	133,663	Gross margin	55.0%	56.5%	57.1%	59.4%	60.9%
Accounts receivable	2,913	2,935	4,425	7,290	10,691	EBITDA margin	45.2%	49.9%	50.7%	54.6%	56.6%
Inventories	8,444	12,641	18,456	29,155	41,035	EBIT margin	44.9%	49.7%	50.4%	54.3%	56.3%
Other current assets	11,492	15,967	23,636	37,740	53,644	Net profit margin	37.8%	40.8%	42.0%	45.1%	46.5%
Current assets	19,537	70,195	93,990	133,221	187,307	ROE	40.6%	34.5%	35.3%	46.4%	54.1%
PP&E	1,888	2,106	3,888	5,348	6,786	ROA	27.3%	26.0%	26.9%	33.2%	37.4%
LT investments	81	174	212	212	212	ROCE	37.9%	33.2%	33.7%	44.7%	52.5%
Other non current assets	441	969	851	822	817	SG&A/Sales	5.6%	3.4%	2.8%	2.0%	1.9%
Total assets	21,866	73,270	98,730	139,391	194,910	Net debt/equity	NM	NM	NM	NM	NM
Short term borrowings	157	0	0	0	0	P/E (x)	170.5	73.7	43.7	25.6	16.2
Payables	3,181	3,402	5,168	8,163	11,490	P/BV (x)	65.6	15.7	13.8	10.4	7.6
Other short term liabilities	4,691	11,626	20,052	33,432	49,206	EV/EBITDA (x)	142.6	56.7	30.2	17.0	10.2
Current liabilities	8,028	15,028	25,219	41,596	60,695	Dividend Yield	0.7%	0.0%	0.0%	0.0%	0.0%
Long-term debt	0	0	0	0	0	Sales/Assets (x)	0.7	0.6	0.6	0.7	0.8
Other long term liabilities	106	211	450	450	450	Interest cover (x)	NM	NM	NM	NM	NM
Total liabilities	8,134	15,239	25,669	42,046	61,145	Operating leverage	140.9%	119.8%	102.9%	121.0%	110.6%
Shareholders' equity	13,732	58,031	73,060	97,345	133,765	Revenue y/y Growth	47.5%	116.3%	81.7%	59.4%	53.5%
Minority interests	-	-	-	-	-	EBITDA y/y Growth	66.6%	138.8%	84.3%	71.9%	59.0%
Total liabilities & equity	21,866	73,270	98,730	139,391	194,910	Tax rate	20.9%	20.7%	20.2%	20.0%	20.0%
BVPS	85.64	358.19	406.06	541.02	743.43	Adj. Net Income y/y Growth	72.3%	133.9%	87.1%	71.0%	58.1%
y/y Growth	11.3%	318.2%	13.4%	33.2%	37.4%	EPS y/y Growth	71.9%	131.5%	68.4%	71.0%	58.1%
Net debt/(cash)	(7,888)	(54,228)	(70,354)	(95,480)	(133,663)	DPS y/y Growth	4.9%	(100.0%)	-	-	-
Cash flow from operating activities	2,432	15,112	25,808	42,006	66,007						
o/w Depreciation & amortization	46	69	161	186	290						
o/w Changes in working capital	(2,899)	2,681	2,522	2,272	3,196						
Cash flow from investing activities	(242)	(815)	(1,826)	(1,616)	(1,723)						
o/w Capital expenditure	(162)	(287)	(1,943)	(1,646)	(1,728)						
as % of sales	1.2%	0.9%	3.5%	1.9%	1.3%						
Cash flow from financing activities	(3,644)	31,886	(7,857)	(15,262)	(26,101)						
o/w Dividends paid	(4,800)	(3,636)	(8,159)	(15,262)	(26,101)						
o/w Net debt issued/(repaid)	157	(157)	0	0	0						
Net change in cash	(1,453)	46,183	16,126	25,127	38,183						
Adj. Free cash flow to firm	2,270	14,825	23,865	40,360	64,280						
y/y Growth	(55.8%)	553.0%	61.0%	69.1%	59.3%						

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Hon. Precision (7769.TW, 7769 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
04-May-26	OW	4945.00	6,700
13-May-26	OW	6870.00	8,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 04, 2026. All share prices are as of market close on the previous business day.

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